Solution

As the sacrifice made by the existing partners is not mentioned, it is assumed that they sacrifice in their old profit sharing ratio 5:3. Therefore, sacrificing ratio is 5:3.

Journal Entry

Date	Particulars		L.F.	Debit ₹	Credit ₹
2019	Bank A/c	Dr.		8,000	
January 1	To Amudha's capital A/c (5/8)				5,000
	To Bhuvana's capital A/c (3/8)				3,000
	(Cash brought for goodwill credited to Amudha and Bhuvana in sacrificing ratio)				
,,	Amudha's capital A/c	Dr.		5,000	
	Bhuvana's capital A/c	Dr.		3,000	
	To Bank A/c				8,000
	(Amount withdrawn by the partners)				

Illustration 19

Arun, Babu and Charles are partners sharing profits and losses equally. They admit Durai into partnership for 1/4 share in future profits. The goodwill of the firm is valued at ₹ 36,000 and Durai brought cash for his share of goodwill. The existing partners withdraw half of the amount of their share of goodwill. Pass necessary journal entries on the assumption that the fluctuating capital method is followed.

Solution

Durai's share of goodwill = 36,000 × 1/4 = ₹ 9,000

As the sacrifice made by the existing partners is not mentioned, it is assumed that they sacrifice in their old profit sharing ratio 1:1:1. Therefore, sacrificing ratio is 1:1:1.

Journal Entries

Date	Particulars		L.F.	Debit ₹	Credit ₹
	Bank A/c	Dr.		9,000	
	To Arun's capital A/c				3,000
	To Babu's capital A/c				3,000
	To Charles's capital A/c				3,000
	(Cash brought for goodwill credited to old partners' capital account in sacrificing ratio)				

12th-Accountancy-Unit-05.indd 158 1/4/2020 12:00:40 PM